

Vanguard Biosystems Inc.

1800 Biomedvale Dr, Philadelphia, PA 19103 | Confidential Internal Document

PERFORMANCE RECOVERY PLAN — Q3 2025

Period Ending: September 10, 2025 | Report ID: RPT-CRIT-4233888

EXECUTIVE SUMMARY

Revenue has declined by 18% year-over-year, significantly below the 8% growth target. EBITDA margin compression of 8.2 percentage points reflects rising input costs and failed pricing initiatives. Customer retention has fallen sharply to 74.3%, with churn concentrated in the mid-market segment. Management has initiated a performance recovery plan and engaged an external advisor to assess restructuring options.

KEY PERFORMANCE INDICATORS

Metric	Current Period	Prior Period	Variance	Status
Revenue (\$M)	104.08	126.93	-18%	At Risk
EBITDA Margin (%)	11.0	19.2	-8.2 pts	Below Target
Customer Retention (%)	83.1	95.5	-12.4%	At Risk
New Customer Acquisition	171	249	-78	CRITICAL
Employee Satisfaction	65/100	72/100	-7 pts	At Risk

RECOMMENDED CORRECTIVE ACTIONS

- Engage a Tier-1 management consulting firm to conduct a 60-day operational review and present a prioritised cost-reduction roadmap to the Board by the end of Q3.
- Implement an immediate hiring freeze and discretionary spend moratorium pending completion of the operational review. CFO to report weekly cash position to the Board.
- Initiate a structured outreach programme to top 20 at-risk accounts with executive sponsorship and tailored retention offers, targeting a churn reduction of at least 15% within 90 days.
- Commission an independent valuation of all non-core business units to identify potential divestiture candidates that could generate liquidity of \$15–25M within 6 months.
- Convene an emergency all-hands leadership meeting within 5 business days to communicate the performance shortfall, outline the recovery plan, and address workforce concerns.

Prepared by: Dominique Lefevre, Chief Financial Officer

Approved by: _____ | Date: September 14, 2025

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